COURSE TITLE: MACROECONOMICS 1 BME 1 3HRS

Question One (20 marks)

Using the data below (in millions of FCFA) for a hypothetical economy in 2024. Calculate National Income using the **Expenditure Method**. **Show all your steps.**

SN	Items	Millions FCFA
1	Personal consumption expenditures	155,000
2	Public final expenditure on goods	80,000
3	Value of stocks on July 10th	35,000
4	Value of stocks on December 12th	-5000
5	Net investment	95,000
6	Exports of goods & services	88,000
7	Imports of goods & services	46,000
8	Indirect taxes	105,000
9	Subsidies	84,500
10	Capital consumption	25,500
11	Property income paid abroad	65,000
12	Transfer payments	22,000
13	Purchase of used goods	44,500
14	Value of illegal drug sales	56,000
15	Property income from abroad	50,000

Question Two (20 marks

The table below shows income data for a hypothetical economy in 2025 (in millions of FCFA). Calculate National Income using the **Income Method**. **Show all your steps.**

SN	Item	Amount (FCFA mi lion)
1	Wages and salaries	450,000
2	Employers' social security contributions	90,000
3	Rent (actual and imputed)	35,000
4	Interest (net of financial intermediaries)	28,000
5	Gross operating surplus of corporations	110,000
6	Gross mixed income (self-employed, sole traders)	65,000
7	Consumption of fixed capital (depreciation)	40,000
8	Indirect taxes (taxes on production and imports)	55,000
9	Subsidies	15,000
10	Net factor income from abroad	–8,000

11	Transfer payments from government	30,000
12	Sale of second-hand goods	12,000

Question Three (20 marks)

The following data (in Millions-FCFA) an imaginary Balance of Payment for Cameroon in 2025.

Item	Value (million FCFA)
Exports of goods CA	1,200
Imports of goods CA	1,450
Exports of services CA	6,000
Imports of services CA	5,008
Net profits, interest and dividends CA	6,226
Cameroon private investment abroad – KA	1,525
Foreign investment in Cameroon KA	4,262
Official long term (L.T) Capital KA	3,514
Cameroon Bank's foreign currency transaction (net) FA	8,026
Total investment and other capital flows (net) KA	8,002
Changes in reserves additions +	9,020
Foreign currency payments – FA	7,250
Balancing item	+ 2855

$(X - M) + Y + T_r$

Tasks:

a) Calculate the **Current Account Balance** for Cameroon (6 marks)
b) Calculate the **Capital Account Balance for Cameroon** (6 marks)
c) Calculate the **Overall Balance of Payments** for Cameroon (8marks)

Question Four (20 Marks)

a) Explain the measures to cure a Balance of Payment deficit (10 marks)
b) Explain the general problems in measuring national income (10 marks)